Tech Mahindra Ltd

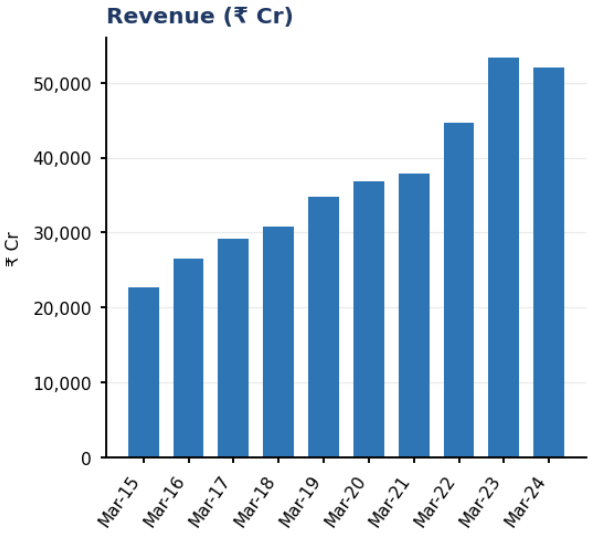
Information Technology | IT Services | Latest FY: Mar-24 | ₹ Crore

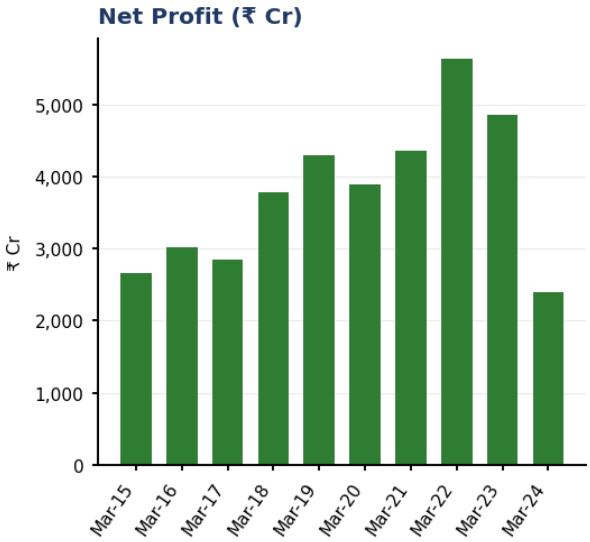
TECHM

Key Performance Indicators

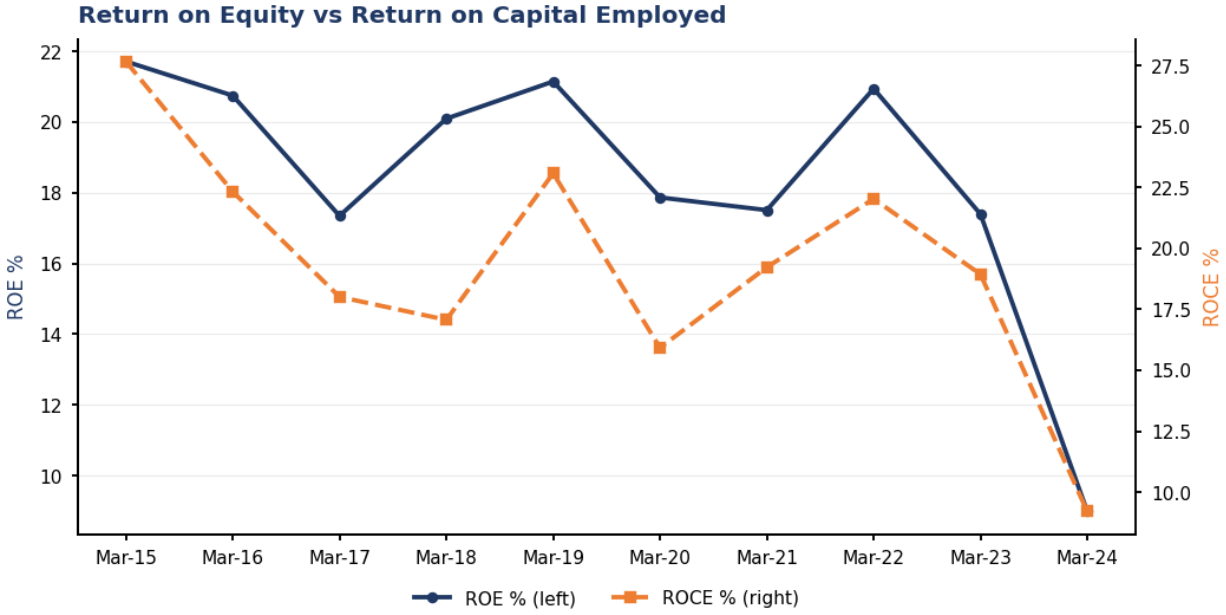
RETURN ON EQUITY	RETURN ON CAPITAL EMPLOYED	OPERATING PROFIT MARGIN
9.0%	**9.2%**	**8.7%**
▼ -8.4 pts vs Mar-23	▼ -9.7 pts vs Mar-23	▼ -5.9 pts vs Mar-23
DEBT / EQUITY	**REVENUE CAGR (5Y)**	**NET PROFIT CAGR (5Y)**
0.10x	**8.4%**	**-11.0%**
▼ -0.00x vs Mar-23	compound annual rate	compound annual rate

10-Year Revenue and Net Profit





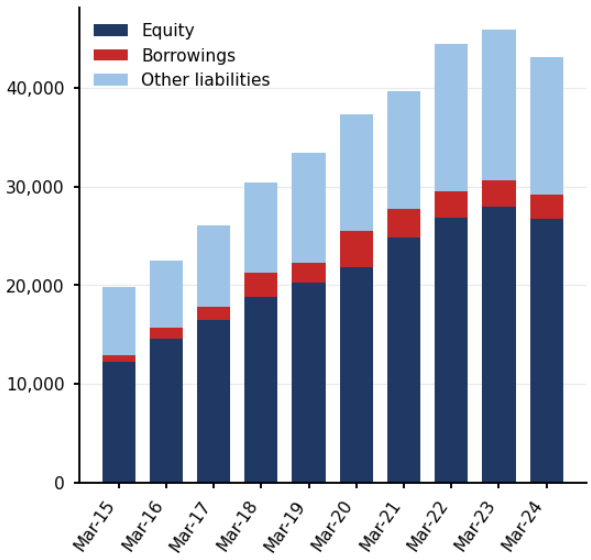
Return on Equity and Return on Capital Employed



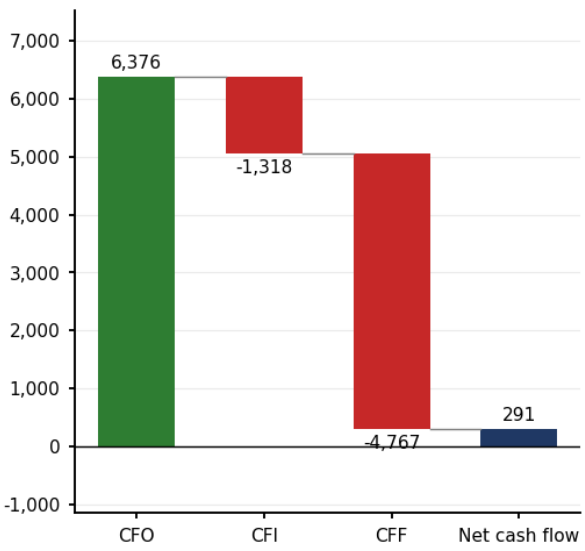
Source: company financial statements (annual). Pros/cons are rule-based with confidence scores; not investment advice.

Balance Sheet Composition and Latest-Year Cash Flow

Balance Sheet Composition (₹ Cr)



Cash Flow Waterfall – Mar-24 (₹ Cr)



Capital Allocation

Reinvestor

Pattern history (CFO / CFI / CFF signs): Mar-21: Reinvestor → Mar-22: Shareholder Returns → Mar-23: Reinvestor → Mar-24: Reinvestor

Cash Flow Intelligence

CFO QUALITY (5Y CFO/PAT)	CAPEX INTENSITY	FCF CONVERSION	FCF CAGR (5Y)	FLAGS
1.54x	**3.8%**	**74%**	**16.8%**	**Deleveraging**
High Quality	Moderate	FCF / operating profit		

Pros

- Strong free cash flow generation over 5 years signals healthy business fundamentals (81%)
- Growing asset base funded by internal accruals reflects self-sustaining growth (72%)
- Very high interest coverage ratio reflects negligible financial stress from debt servicing (69%)

Cons

- Dividend payout ratio above 100% means the company is paying dividends from reserves, which is unsustainable (80%)
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital (67%)

Source: company financial statements (annual). Pros/cons are rule-based with confidence scores; not investment advice.